

Industry Analysis / Industry Globalization



Dr. Kwangsoo Kim
Konkuk University



AGENDA

Industry Analysis

Industry Globalization



Industry Analysis



Industry vs. Market

General

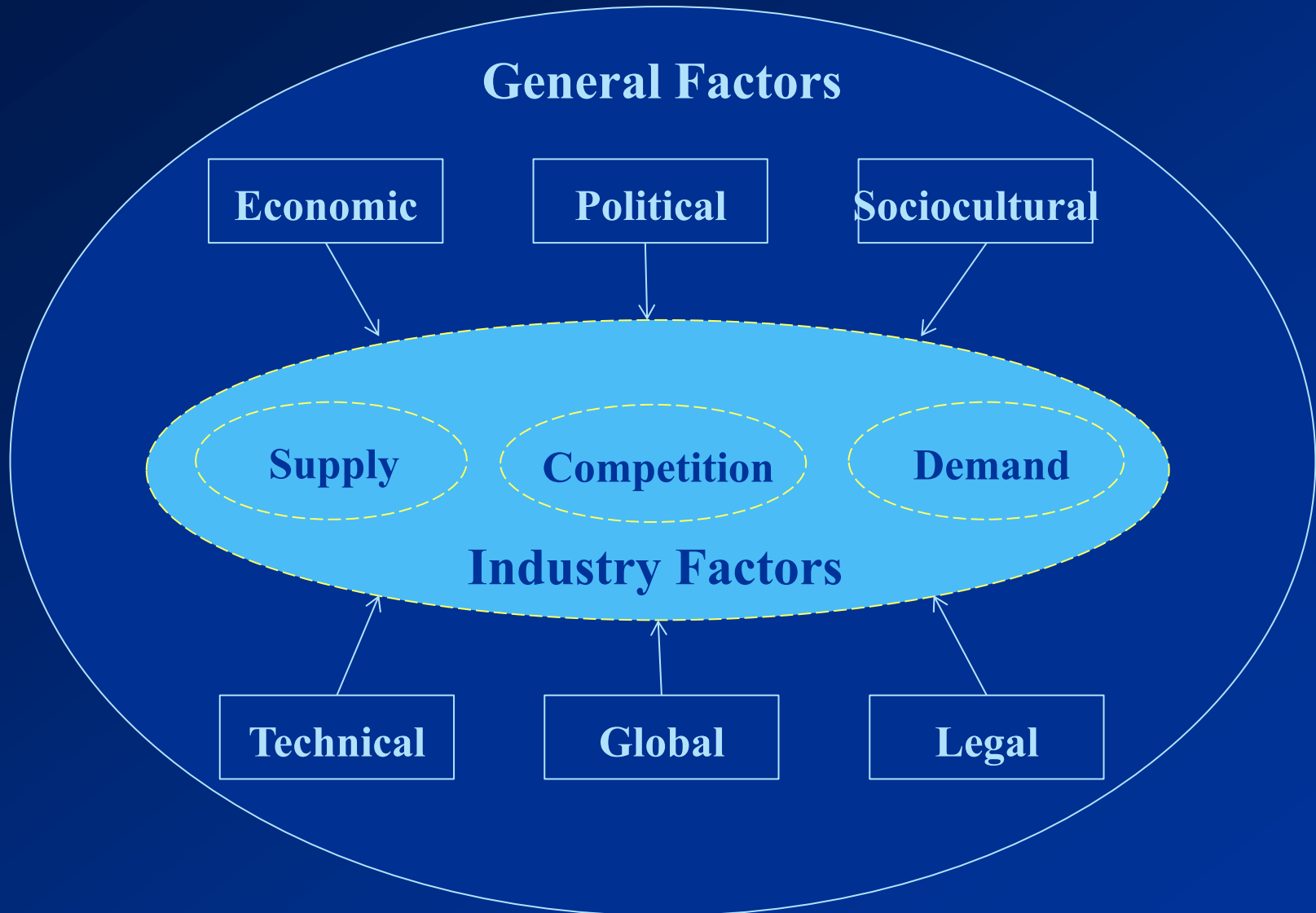
Industry

Market

Firm



INDUSTRY ANALYSIS FRAMEWORK



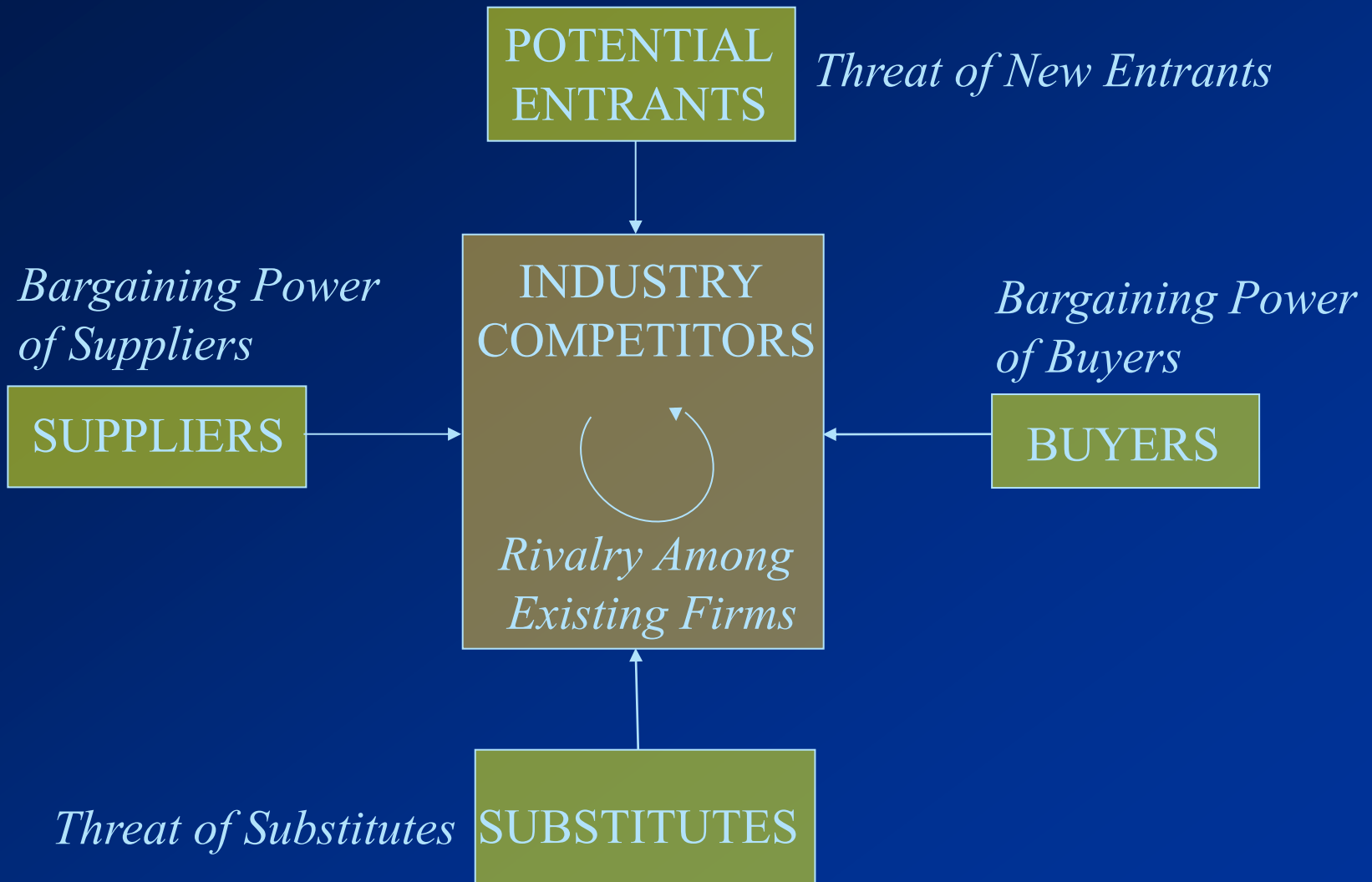


INDUSTRY ANALYSIS

- Boundary and Segments Analysis
- Industry Structural Analysis
- Strategic Group Analysis
- Competitor Analysis
- Technological Trend Analysis
- Industry Economic Characteristics Analysis
- Driving Forces Analysis
- Key Success Factors Analysis

INDUSTRY STRUCTURE

Five Forces Analysis





INDUSTRY STRUCTURE

Five Forces Analysis

- Key Points:
 - A focal industry is structured based on the above five forces
 - The industry structure with these five forces determine the level of industry competition, which, in turn, determines the potential profitability and attractiveness of the industry
- Implications for Strategy
 - Positioning the company: building defenses against the competitive forces
 - Exploiting industry change: anticipating shifts in the forces and exploit them
 - Shaping industry structure: shaping the balance of forces to create a new more favorable structure
 - Deciding whether or not to enter / exit the industry

Threat of New Entrants

Barriers to Entry

- Economies of Scale
- Product Differentiation
- Capital Requirements
- Switching Costs
- Access to Distribution Channels
- Incumbency advantages Independent of Scale
- Restrictive Government Policy
- Expected Retaliation

Bargaining Power of Suppliers

Suppliers exert power in the industry by:

** Threatening to raise prices or to reduce quality*

Powerful suppliers can squeeze industry profitability if firms are unable to recover cost increases

Suppliers are likely to be powerful if:

- The supplier industry is dominated by a few firms
- Suppliers' products have few substitutes
- Buyer is not an important customer to supplier
- Suppliers' product is an important input to buyers' product
- Suppliers' products are differentiated
- Suppliers' products have high switching costs
- Supplier poses credible threat of forward integration

Bargaining Power of Buyers

Buyer groups are likely to be powerful if:

- Buyers are concentrated or purchases are large relative to seller's sales
- Purchase accounts for a significant fraction of supplier's sales
- Products are undifferentiated
- Buyers face few switching costs
- Buyers' industry earns low profits
- Buyer presents a credible threat of backward integration
- Product unimportant to quality

Buyers exert power over the supplying industry by:

- * *Bargaining down prices*
- * *Forcing higher quality*
- * *Playing firms off of each other*

Threat of Substitutes

Keys to evaluate substitute products:

- Products with improving price/performance tradeoffs relative to present industry products
- Switching costs

Example:

- Electronic security systems in place of security guards
- CDs in place of cassette tapes

Products with similar *function* limit the prices firms can charge

Rivalry among Existing Firms

Increased rivalry
among existing
firms tends to
decrease prices /
increase quality

Rivalry among existing firms increases if:

- The number of competitors is high
- The industry growth rate is low
- Exit barriers are high
- Brand loyalty is low
- Product differentiation is low

Changes in Industry Structure

- Shifting threat of new entry
 - changes in entry barriers: e.g., new technology
- Changing supplier power
 - changes in factors underlying supplier power
- Changing buyer power
 - changes in factors underlying buyer power
- Shifting substitution threat
 - advances in technology or shifts in price/performance ratios
- New bases of rivalry
 - changes in factors underlying rivalry

STRATEGIC GROUP ANALYSIS

- Definition:
 - A group of firms following the same basic strategy within an industry
- Method to develop strategic groups:
 - Identify two different criteria
 - Plot all firms in an industry
 - Decide which firms follow the same strategy
 - Draw circles

COMPETITOR ANALYSIS

Future Goals

- ★ How do our competitors' goals compare to our goals?
- ★ Where will emphasis be placed in the future?
- ★ What is the attitude toward risk?

Current Strategy

- ★ How are our competitors currently competing?
- ★ Does this strategy support changes in the competitive structure?

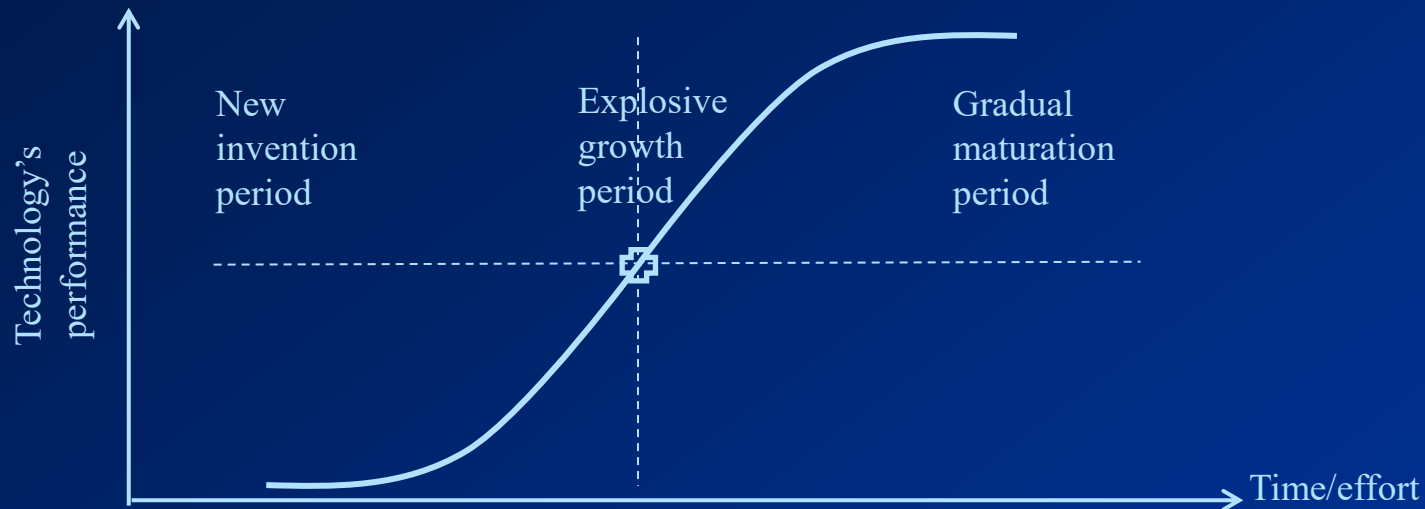
Assumptions

- ★ Do our competitors assume the future will be volatile?
- ★ What assumptions do our competitors hold about the industry and themselves?
- ★ Are our competitors assuming stable competitive conditions?

Capabilities

- ★ What are our competitors' strengths and weaknesses?
- ★ How do our capabilities compare to our competitors?

TECHNOLOGY GROWTH BEHAVIOR



Fluid State

- Ill-defined technology, product and market
- Frequent and major design changes
- Manufacturing process loosely and adaptively organized

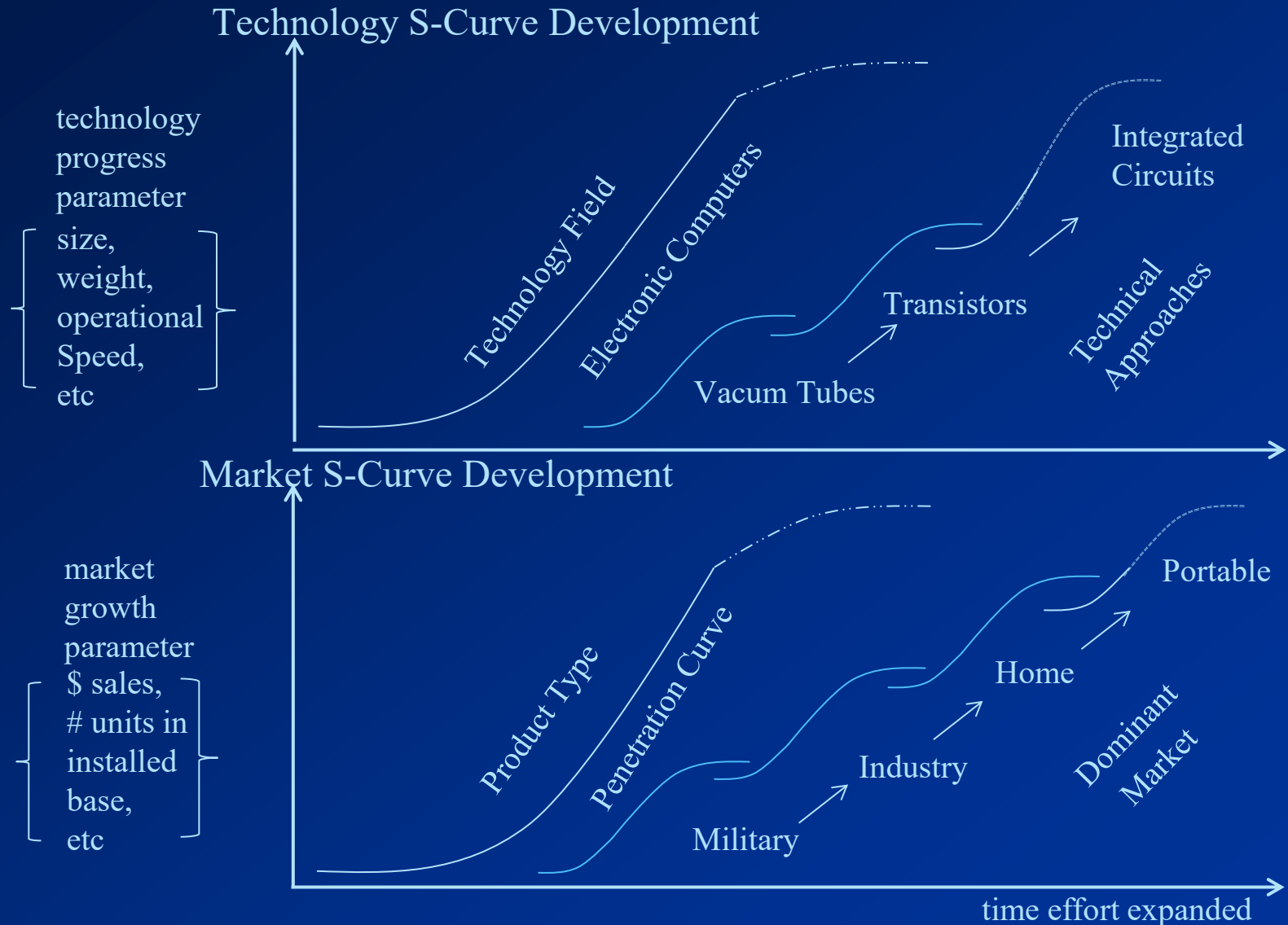
Dominant Design State

- Superior product design emerges
- Performance-maximizing incremental improvements follow
- Dominant design delineates/coalesces market rapid growth

Product Maturity State

- Highly standardized product; established market
- Cost –minimizing manufacturing process innovation
- Mature position down the Technology learning curve means little risk, low unit costs and a large market

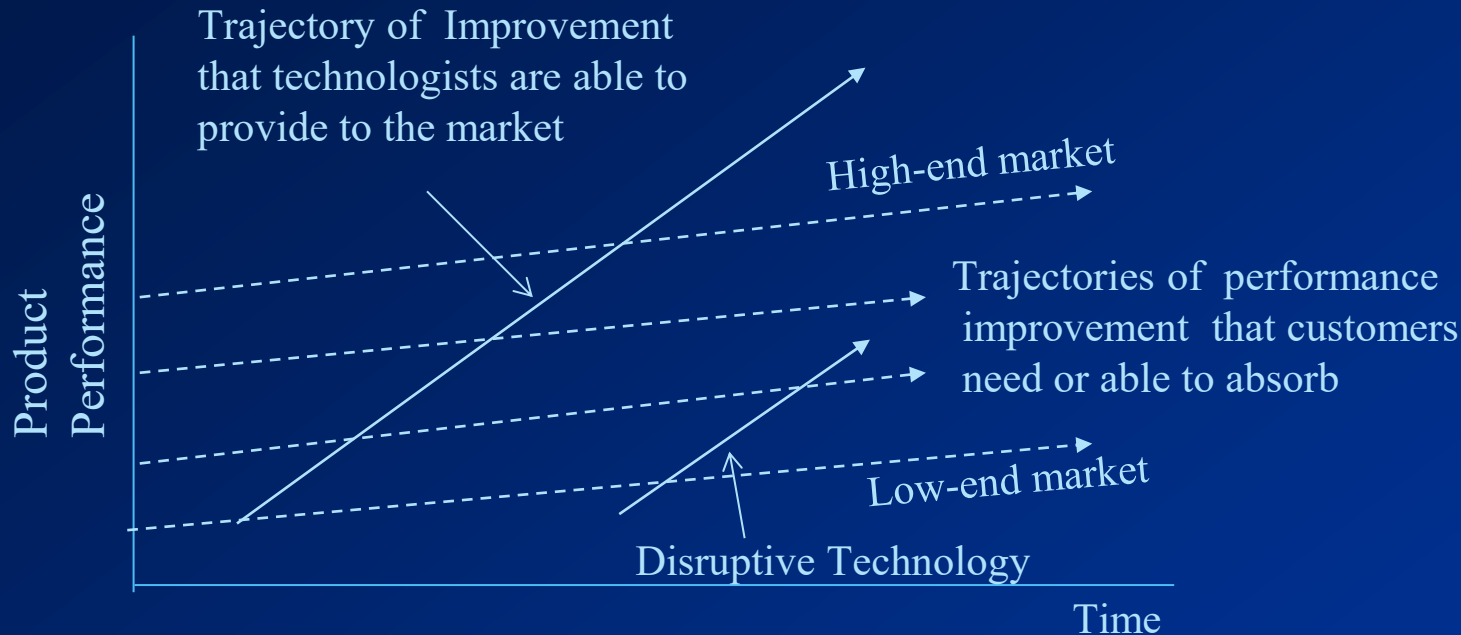
Dynamics of Emerging Technologies & Markets



(after Afuah, A., OUP 98)

(Source: Technology S-Curves and Technological Strategy (Henry C. Co))

Technology Innovation Model



- Slope of technological trajectory $>$ slope of trajectories of customer need.
- Intel: microprocessor speed increases about 20% per year.
- Eli Lilly: Purity of insulin improved from 50,000 ppm in 1925 to 10 ppm in 1980 (by about 14% per year).
- Manufacturers of hydraulic excavators increased by 15% per year the amount of earth their machine could lift in a single scoop; from 0.25 cubic yard in 1948 to 10 cubic yards by 1974.

INDUSTRY ECONOMIC CHARACTERISTICS

- Industry economic characteristics:
 - Industry size
 - Growth rate
 - Concentration – number of players
 - Scope of competitive rivalry
 - Prevalence of backward and forward integration
 - Types of distribution channels, etc.
- Industry types: Industry life cycle model
 - Embryonic – Growth – Shakeout
 - Mature – Declining

INDUSTRY ECONOMIC CHARACTERISTICS

- Geography of industry competition:
 - What is the geographic scope of competition?
 - Multi-domestic industry
 - Global industry
 - What competitive advantage is available due to the region or nation in which a firm competes?
 - What is the geographic scope of core competences / capabilities?
- Industry concentration:
 - Fragmented industry
 - Consolidated industry

Spectrum of Industry Structure

	<i>Perfect Competition</i>	<i>Oligopoly</i>	<i>Duopoly</i>	<i>Monopoly</i>
<i>Concentration</i>	Many firms	A few firms	Two firms	One firm
<i>Entry and Exit Barriers</i>	No barriers	Significant barriers		High barriers
<i>Product Differentiation</i>	Homogeneous Product	Potential for product differentiation		
<i>Information</i>	Perfect Information flow	Imperfect availability of information		

DRIVING FORCES

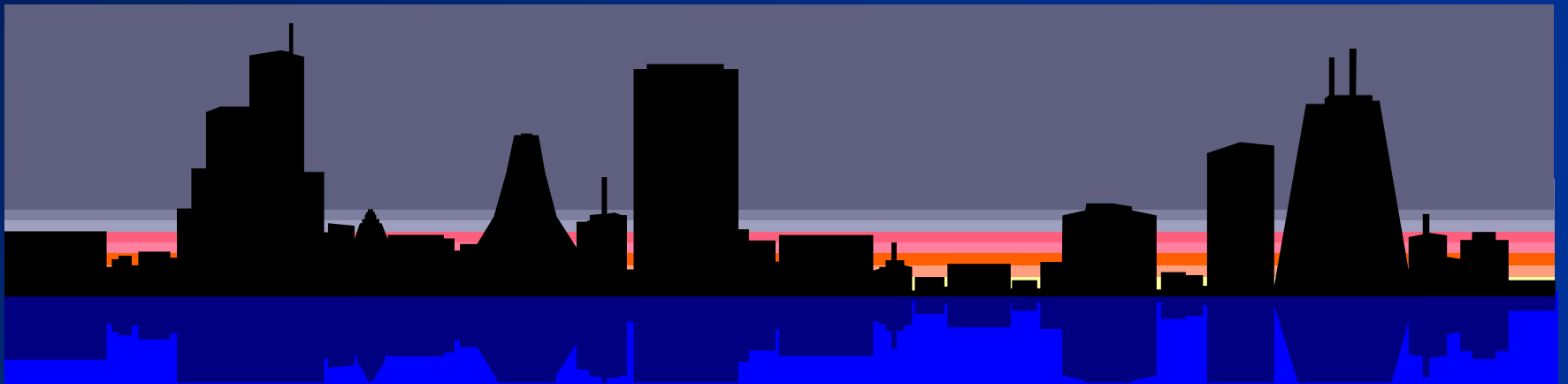
- Definition:
 - The most dominant forces that can change industry structure and competitive conditions
 - Emerging continuities & emerging discontinuities
- Common driving forces:
 - Industry-related driving forces
 - General environment-related driving forces

KEY SUCCESS FACTORS

- Definition:
 - Activities or things that firms within an industry must do very well in order to be successful. They are highly valued by customers
 - Industry specific
 - Strategic group specific
 - Not firm specific
- Examples:
 - Apparel industry & Beer industry
 - Pharmaceutical industry
 - Generic group
 - Proprietary group

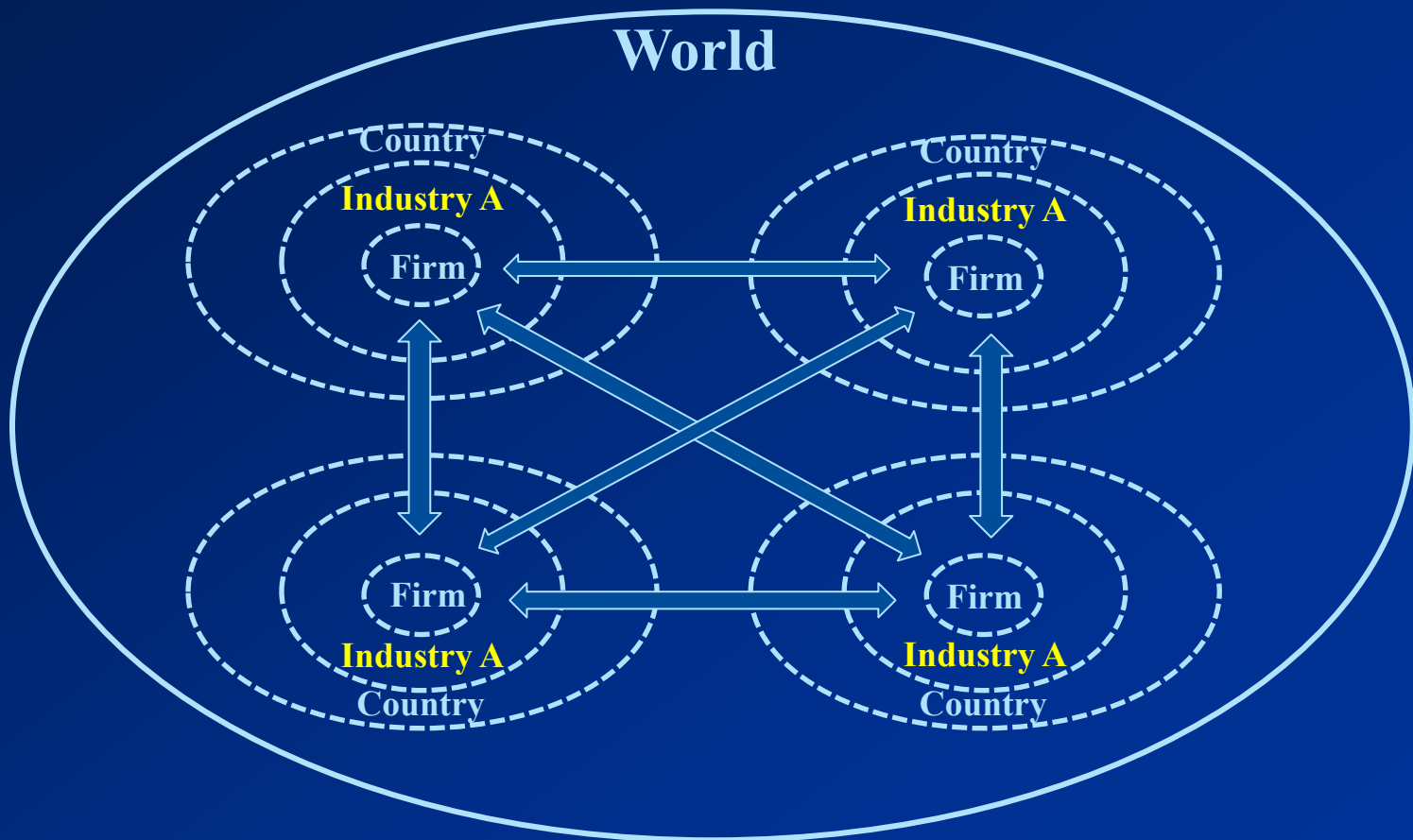


Industry Globalization



DEFINITION

Extent of interdependence or inter-linkages among countries within a specific worldwide industry





DRIVING FORCES

- Major environmental forces that push an industry to be more global
- Major environmental pressures that either force or enable firms to move products, services, capital, labor, and information/knowledge across borders
- Two Different Perspectives of Industry Globalization
 1. Linear Perspective (Yip)
 2. Categorical Perspective (B&G, Porter, P&D)

LINEAR PERSPECTIVE

Degree of industry globalization



Low

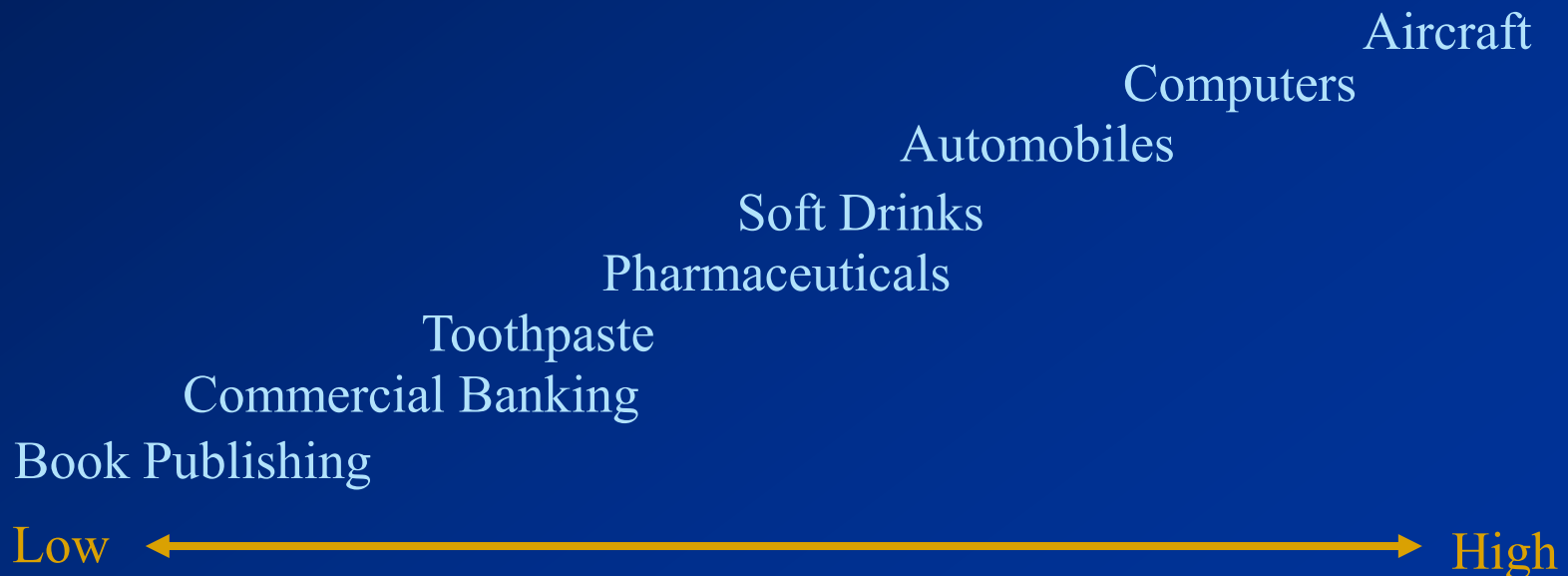
Medium

High

- ❖ Market globalization drivers
- ❖ Cost globalization drivers
- ❖ Government globalization drivers
- ❖ Competitive globalization drivers

Market Globalization Drivers

- ❖ Common customer needs
- ❖ Sophisticated customers
- ❖ Global customers & Global channels
- ❖ Transferable marketing
- ❖ Measures: % of WW sales attributed to standardized products





Cost Globalization Drivers

- ❖ Global scale & scope economies; Learning/experience effect
- ❖ Global sourcing efficiencies & Favorable logistics
- ❖ Differences in country (factor) costs
- ❖ High product development costs
- ❖ Rapidly changing technology
- ❖ Measures: % of WW market needed to achieve MES

Pharmaceuticals

Aircraft

Automobiles

Computers

Book Publishing

Toothpaste

Commercial Banking

Soft Drinks

Low ← → High

Government Globalization Drivers

- ❖ Unrestrictive trade and investment policies
- ❖ Compatible technical standards
- ❖ Common marketing regulations
- ❖ Host government's concerns/demands
- ❖ Measures: % of countries that possess uniform or mutually recognized technical standards

Toothpaste

Soft Drinks

Book Publishing

Computers

Automobiles

Pharmaceuticals

Aircraft

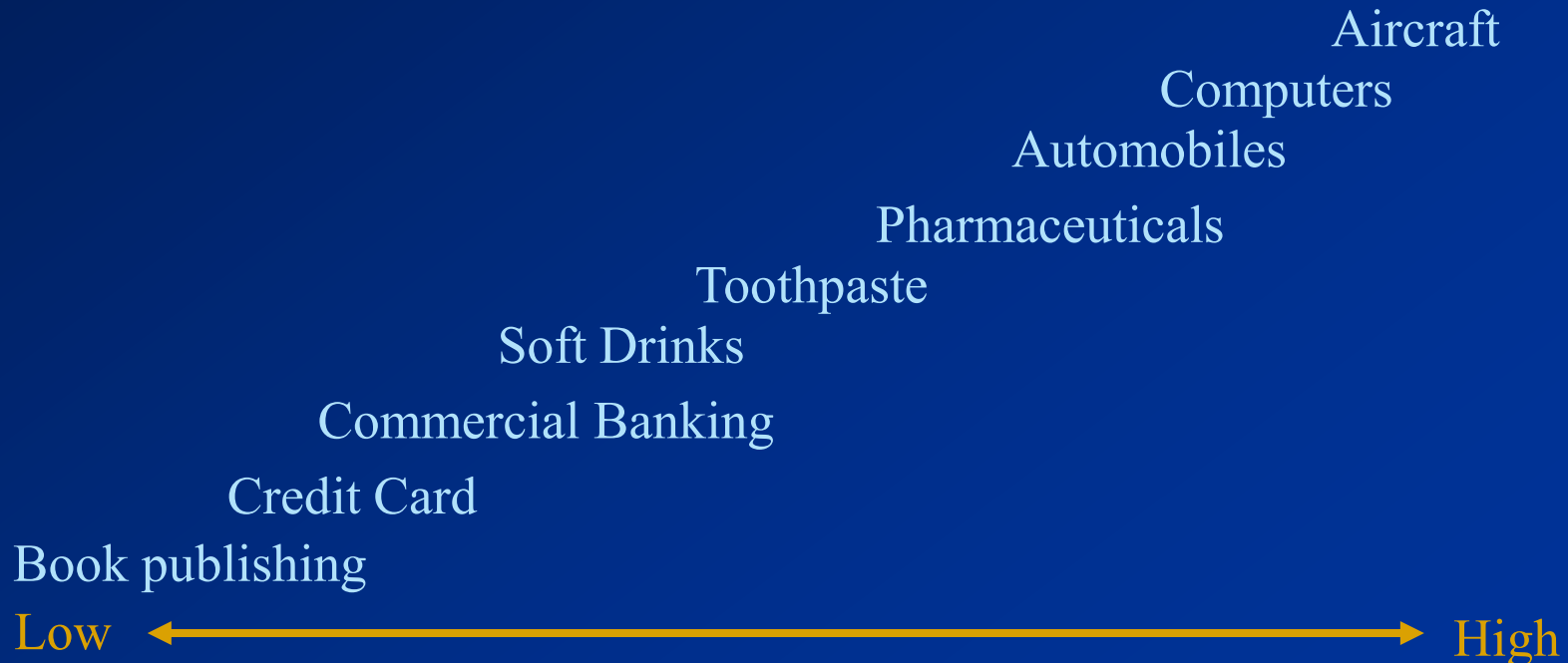
Commercial Banking

Telecommunications

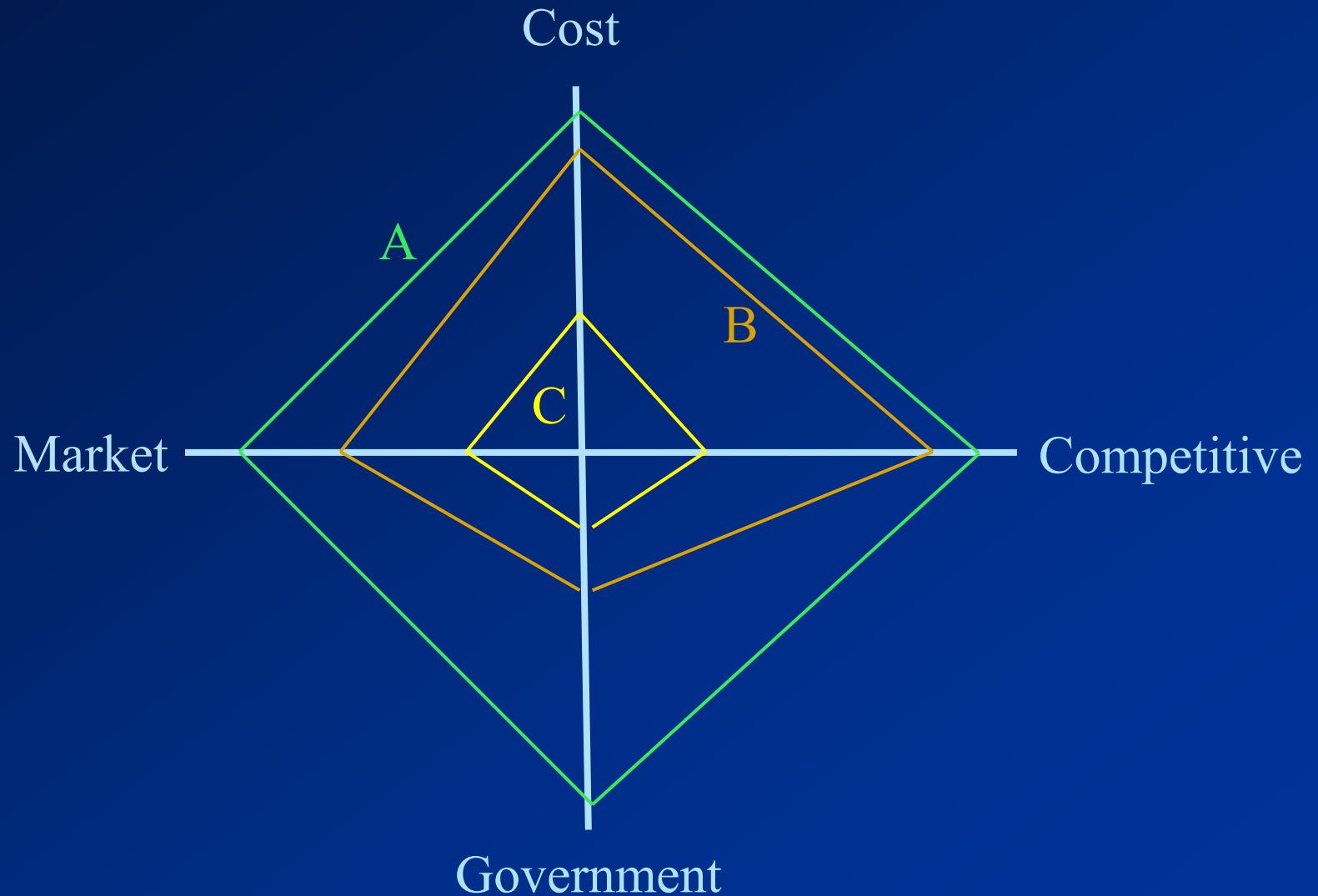
Low ←————→ High

Competitive Globalization Drivers

- ❖ High exports and imports
- ❖ Competitors from different continents and countries
- ❖ Interdependence among countries
- ❖ Competitors globalized
- ❖ Measures: % of WW market attributed to trade of top 4-8 firms

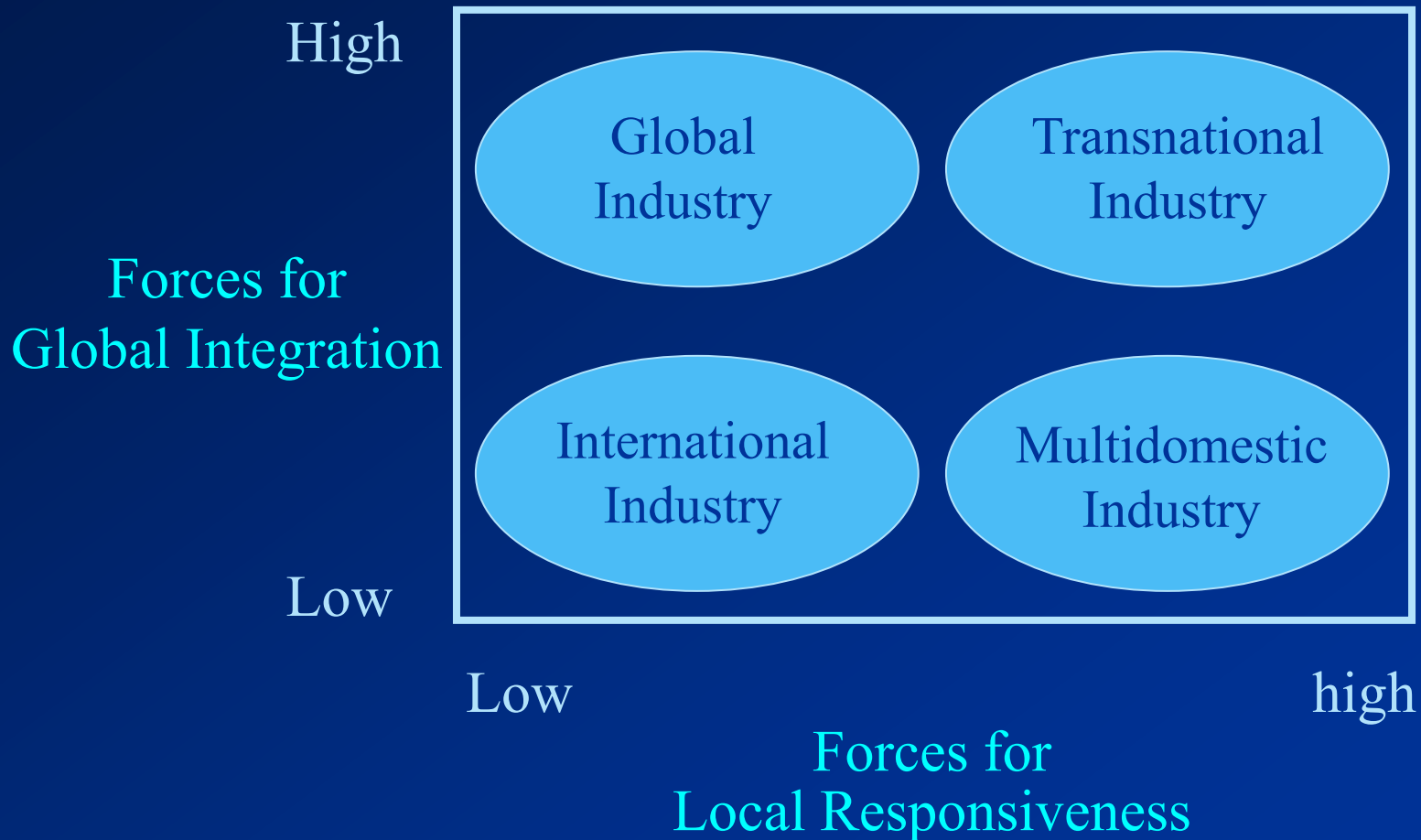


Map of Globalization Drivers



CATEGORICAL PERSPECTIVE

Bartlett and Ghoshal's Perspective





Two Opposing Forces

❖ Forces for Global Integration (FGI)

- Cost reduction pressures
- Economies of scale
- Increasing similarity in customer needs/tastes
- Lower trade barriers
- Lower transportation costs
- Increased communication capacity, etc.

❖ Forces for Local Responsiveness (FLR)

- Differences in market structures
- Differences in customer needs/tastes
- More sophisticated customers
- Differences in infrastructure
- Host government demands, etc



Multidomestic Industry

- ❖ High pressures for local responsiveness and low pressures for global integration
- ❖ Huge differences in industry structures and customer needs
- ❖ Low minimum efficient scale
- ❖ Independent competition in each market
- ❖ No ‘international market’ / only country markets
- ❖ Examples?

International Industry

- ❖ Relatively low pressures for both local responsiveness and global integration
- ❖ Low minimum efficient scale
- ❖ Minor modification requirement & easy acceptance to local market & easy transfer of knowledge and skills
- ❖ Moderate independent competition in each markets
- ❖ Examples?

Global (Simple-Global) Industry

- ❖ Low pressures for local responsiveness and high pressures for global integration
- ❖ Strong common customer needs
- ❖ Strong needs for global scale economies
- ❖ High minimum efficient scale
- ❖ Export platform / home dominance
- ❖ Linked competition across various markets
- ❖ World-wide leadership
- ❖ Examples?

Transnational (Complex-Global) Industry

- ❖ High pressures for both local responsiveness and global integration
- ❖ High pressures for global learning/scale/scope
- ❖ The most complex, competitive, and advanced form of industry/competition
- ❖ Highly interdependent competition across various markets
- ❖ World-wide leadership

TREND OF INDUSTRY GLOBALIZATION

